

NICE · FY2026 Q1

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NICE Ltd · 54 turns · 13 participants

CAST (IN ORDER OF APPEARANCE)**Operator**

Operator

Ryan Gilligan

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Chief Executive Officer

Thomas Blakey

Analyst, Cantor Fitzgerald

Arjun Bhatia

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Beth Gaspich

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Michael Fox

Analyst, Bank of America Securities

Samad Samana

Analyst, Jefferies

Siti Panagrahi

Analyst, Mizuho

OPERATOR Operator

Welcome to the NICE conference call discussing first quarter 2026 results, and thank you all for holding. All participants are at present in a listen-only mode. Following management's formal presentation, instructions will be given for the question and answer session. As a reminder, this conference is being recorded May 6, 2026. I would now like to turn this call over to Mr. Ryan Gilligan, Vice President of Investor Relations at NICE. Please go ahead.

RYAN GILLIGAN Vice President of Investor Relations, NICE

Thank you, Operator. With me on today's call are Scott Russell, Chief Executive Officer, and Beth Gaspich, Chief Financial Officer. Before we start, I would like to point out that some of the statements made on this call will constitute forward-looking statements. In accordance with the safe harbor provisions of the Private Securities Litigation Reform Act of 1995, please be advised that the company's actual results could differ materially from these forward-looking statements. Additional information regarding the factors that could cause actual results or performance of the company to differ materially is contained in the section entitled risk factors in item three of the company's 2025 annual report on form 20F as filed with the Securities and Exchange Commission on February 26, 2026. During today's call, we will present a more detailed discussion of first quarter 2026 results and the company's guidance for the second quarter and full year 2026. You can find our press release as well as PDFs of our financial results on NICE's investor relations website. Following our comments, there will be an opportunity for questions. Let me remind you that unless otherwise noted on this call, we will be commenting on our adjusted results of operations, which differ in certain respects from generally accepted accounting principles as reflected mainly in accounting for share based compensation, amortization of acquired and tangible assets, acquisition-related expenses, gains on intercompany foreign currency transactions, amortization of deferred financing costs, amortization of discount on debt, the tax effect of the non-GAAP adjustments, and the tax rate impact resulting from the non-U.S. intercompany transaction. The differences between the non-GAAP adjusted results and the equivalent GAAP figures are detailed in today's

press release. The information in some of our comments discussed on this call may contain forward-looking statements that are subject to risks, uncertainties, and assumptions. I will now turn the call over to Scott.

SCOTT RUSSELL Chief Executive Officer

Thank you, Rowan. And good morning, everyone. What an exciting and dynamic market that we're operating in. Our team is moving with speed and purpose to seize the CXAI opportunity, and that is evident in our Q1 results. We are taking bold and decisive actions to create durable, long-term growth in the CXAI market. In Q1, we delivered total revenue of \$769 million and non-GAAP EPS of \$2.64, both above the high end of our guidance ranges and cloud revenue growth of 14.6% year-over-year. As the only player in the CX market with a fully native, fully AI native platform that operates seamlessly across digital, voice and AI at enterprise scale, we are delivering real transformative outcomes for our customers. And you can see that clearly in our Q1 performance. We delivered a record first quarter for new cloud ACV bookings, both including and excluding Cognigy, reflecting growing demand across our platform and driving accelerated cloud backlog growth of 27%, including Cognigy, and 24% excluding it. In AI, we are seeing continued strong adoption and monetization, with AI, ARR increasing 66% year over year, and now representing 14% of cloud revenue. And once again, 100% of our CX1 enterprise deals included our AI solutions. We're also seeing this reflected across our customer base. As customers renew and expand on our platform, they are increasingly leaning into our AI capabilities to drive measurable outcomes and deliver immediate customer savings. This is contributing to a strong AI bookings with AI backlog growth of 78% year over year and AI pipeline growth that is accelerating even faster. International was another area of strength, with revenue growth of 30% as we continue to win and scale large enterprise deployments across our international markets. And that momentum is also evident in our partner ecosystem, with our GSI partners helping us secure multiple large, multi-million dollar ACV deals in Q1. Let me now turn to how we are creating value with our AI solutions. As basic automation becomes increasingly commoditized, enterprises are prioritizing platforms that can orchestrate end-to-end customer journeys and deliver consistent, high-quality customer experiences. Early adopters of NiceCognigy's agentic AI solutions are reporting approximately 20% improvements in CSAT, over 80% containment rates for Tier 1 inquiries, and double-digit reductions in cost per contact. One example of the tangible value we are creating is with Openreach, the largest wholesale broadband network in the UK. Openreach deployed proactive AI agents from Nice Cognigy to redesign customer engagement across 15 million customer journeys. Following deployment, our proactive AI agents helped drive a one-third reduction in missed appointments and inbound contact volume. This also drove a significant improvement in customer experience, with OpenReach's Trustpilot rating rising from a score of 2 out of 5 to 4.7, based on hundreds of thousands of customer reviews. Ultimately, our deployment delivered tens of millions of pounds in revenue and operating expense benefits to OpenReach. Lufthansa is another great example. Flight disruptions driven by labour strikes drove a surge in customer interactions. Over a seven-day period, Nice Cognigy handled nearly 2 million interactions, completed rebookings and refunds end-to-end, providing food and train vouchers, hotel accommodation information, and more, while significantly reducing contact center workload. This translated into hundreds of thousands of euros in direct cost savings, along with over 1,000 additional hours of avoided manual handling at a critical moment for Lufthansa. This is not a pilot, and it isn't a proof of concept. This is production-grade, agentic AI delivering outcomes at a scale no other player in this market can match. Eight months after closing the Cognigy acquisition, integration is ahead of schedule. And importantly, we have moved beyond foundational work into real platform execution. Cognigy is now tightly integrated into CX1, allowing us to sell, deploy, and scale Cognigy as part of a unified CX1 platform offering. This progress is showing up in how our platform operates. Nice Cognigy AI agents are now powering both proactive engagement and real-time agent assistance, extending across outbound outreach, co-pilot, and end-to-end workflow automation. What that means for our customers is simple. a unified AI layer that can orchestrate interactions and workflows across the customer journey at enterprise scale. Importantly, the progress we're making on integration is already accelerating innovation, and nowhere is more evident than in auto-

mated insights, a capability made possible by bringing nice cognitive together with CX1. Automated Insights analyzes structured and unstructured data across our voice, digital, self-service, and workflows to identify where AI can drive greatest business impact. It quantifies the ROI upfront and automatically generates production-ready, nice Cognigy AI agents within the same platform. Our closed-loop approach from discovery to deployment to optimization is already resonating with customers, and our solution was recognized as the best innovation for customer experience at Enterprise Connect. And that's just one example. This quarter, we introduced a set of capabilities that further differentiate us in the market, including advanced testing to optimize AI performance before deployment, expanded multimodal and proactive engagement across voice, digital, and human interactions, and deeper MCP integration that allows our platform to operate seamlessly within broader enterprise AI environments. These capabilities and more are why Nice Cognigy is consistently ranked as a market leader by industry analysts. Last month, Forrester named NiceCognigy as a leader in the Forrester way for conversational AI platforms for customer service. One of only three vendors to earn that designation and with the highest combined score across current offerings and strategy of all vendors evaluated. And the only vendor to stand out on customer feedback relative to peers. In a market where there is no shortage of bold claims about AI leadership, it is worth noting that independent analyst validation tells a more precise story. But the most important validation, as always, comes from our customers, and it's reflected in several key deals during the quarter. We closed the seven-figure ACV deal with a leading US healthcare services company and a long-time CX1 customer. They expanded their CX1 deployment to transform customer and partner engagement by adding nice Cognigy for agentic AI automation and Copilot for real-time agent guidance. We won with our connected end-to-end AI platform, bringing together agentic AI, agent assistance, and analytics with a clear ROI narrative and a proven ability to scale in highly complex regulated environments. We also closed the seven-figure ACV win in the UK's leading roadside assistance provider. The customer selected CX1, including Cognigy, as an AI-powered engagement hub leveraging agentic AI, co-pilot, and analytics to enable a universal agent model, automate complex customer journeys, and consolidate multiple point solutions into a single platform. Taken together, these wins demonstrate the incremental value created by bringing Cognigy together with CX1, enabling NICE Cognigy to win larger, more strategic enterprise deals, including in head-to-head evaluation of both traditional vendors and AI point solutions. Separately, in our core CCAS business, we closed a competitive seven-figure ACV enterprise win for CX1 with a global leading healthcare and life sciences company. as they consolidate vendors and modernize their contact center environment. NICE was selected to replace a large enterprise CRM-based contact center solution and unify multiple platforms into a single cloud foundation, reflecting the shift towards customer engagement platform as the center of gravity, while addressing immediate operational needs and creating a strong platform for future expansion into digital analytics and AI-driven capabilities. I also want to take a brief moment to talk about how AI is changing how NICE operates. We are rapidly deploying AI to simplify our tech stack, accelerate product development, and drive productivity across our workforce. Within our product and technology organization alone, projects are being completed in a fraction of their original times. In a recent example, we used AI to modernize hundreds of administrative pages to ensure our product meets enterprise accessibility standards. reducing 18 weeks of engineering work to just six. This is just one example of the types of gains we're being delivered across our teams, and they're already translating into faster, more efficient ways of building and delivering our platform. AI is a clear tailwind for NICE. What's often missed in the discussion around AI is the volume of interactions are rapidly expanding. Today, Time is the single biggest constraint limiting how often a consumer engages with a brand. As personal AI removes that friction, engagement will further increase, and nice sits directly in the flow of those interactions. We are the digital front door. Most enterprise software companies monetize internal users, and some monetize only the AI flows. we monetize all consumer interactions with a brand, be it voice, digital, or AI, and that digital front door has no ceiling. As AI adoption evolves, voice will remain a critical channel, which means capturing the CX AI opportunity requires a platform that can seamlessly operate across voice, digital, and AI at enterprise scale. And that's exactly what NICE delivers and something no other provider in the CX market offers today. That advantage is amplified

by our large and expanding install base, which allows us to bring agentic AI to the thousands of customers already running on CX1 and accelerate adoption at scale. We are taking decisive actions now to seize on that opportunity. What makes our position durable is the combination of scale, data, and a deep domain expertise. Specialization matters. With decades of experience and tens of billions of interactions flowing through our platform, we understand customer intent, workflows, and outcomes at a level that allows us to deliver production-grade AI agents with the right controls, context, and operational reliability already built in. These capabilities are essential for large enterprises where customer experience is mission critical and requires consistent performance, trusted data handling, and alignment with complex operational and regulatory requirements. This is the NICE mode. And we look forward to bringing it to life for you at our Investor Day at NICE World on June 9th in Orlando. We hope you'll join us. Before passing it over to Beth, let me briefly address our broader portfolio. We spend a lot of time talking about our CX business. But it's important to remember we also have two other great businesses in financial crime and compliance and public safety, both of which provide mission-critical solutions and have strong market positions. As I've shared, we regularly review our portfolio to ensure we are maximising value for our shareholders. We've been working with advisors over the past several months to run a process for our non-CX assets. I want to emphasise that this is an exploration. Decisions have been made, and we continue to see value in these businesses. With that, I'll now turn the call over to Beth.

BETH GASPICH Chief Financial Officer

Thank you, Scott. I'm pleased to report our Q1 results highlighted by strong 10% revenue growth, healthy profitability, and growing backlog. Our first quarter execution reflects alignment with our strategy to drive durable, long-term growth through disciplined investments. Total revenue for the first quarter was \$769 million and exceeded the high end of our guidance range. Foreign exchange contributed approximately 1% to year-over-year growth this quarter. We're pleased with the execution across the business, including our international regions, which continue to demonstrate strong underlying demand as we expand our global footprint. Starting with revenue by business line, cloud revenue totaled \$603 million, representing 79% of total revenue, and demonstrating healthy 14.6% year-over-year growth, or approximately 12% excluding Cognigy. This performance reflects continued strong adoption of CX1 and ongoing momentum in AI-driven use cases across both Cognigy and our organic AI portfolio. Within cloud, CX AI and self-service ARR reached \$345 million, representing 66% growth year over year, and now counting for 14% of cloud revenue. Importantly, AI already represents a larger share of our cloud backlog, approximately 18%, indicating that AI demand and feature monetization are running ahead of what is reflected in the current revenue as those commitments convert over time. Cloud net revenue retention was 107%, reflecting continued expansion within our installed base and remaining healthy overall. We are seeing some near-term pressure on NRR as we continue to transition our portfolio towards AI-driven capabilities, which can result in compression in certain CF components. Importantly, our focus remains on driving durable long-term growth. Our cloud and AI-specific bookings and backlog remain strong and growing, supported by momentum that we're seeing from new logos and expanding AI adoption, and we expect this to translate into improved expansion and NRR over time. Notably, in Q1, 100% of our CX1 enterprise customer deals included our AI solutions. We continue to make steady progress upmarket, with average deal sizes increasing double digits year over year. This reflects both the scale and enterprise readiness of our platform, as well as the breadth of our AI-driven portfolio, which enables broader initial adoption and creates meaningful cross-sell and expansion opportunities over time. Moving to our premise-based revenues, services revenue, which represented 16% of total revenue, declined 12% year-over-year, reflecting the ongoing migration of our on-premise install base to cloud, which naturally reduces the service activity associated with legacy deployments, while product revenue, representing the remaining 5% of total revenue, increased 23% year-over-year, driven by strength in our financial prime and compliance business. From a geographic perspective, the Americas region, which represented 81% of total revenue, grew 6% year-over-year with healthy CX cloud growth. Coming off the record Q1 cloud bookings, we

see significant cross-sell opportunity ahead to expand AI adoption across our large U.S. customer base, where Cognigy penetration remains early. International was a standout area of performance this quarter, with strong growth across both EMEA and APAC. EMEA revenue, representing 13% of total revenue, grew 34% year-over-year, or 26% on a constant currency basis. while APAC revenue, representing 6% of total revenue, grew 23% year-over-year, or 19% on a constant currency basis. This performance was driven by continued strength in our cloud business, which is now the majority of revenue in both regions, with international cloud revenue growing over 50% year-over-year on a constant currency basis. This reflects strong adoption of our cloud platform and under-penetrated international markets and reinforces our confidence that international expansion will remain a durable and meaningful growth driver for NICE. Turning to our business segments, customer engagement revenue was \$636 million, representing 83% of total revenue and increased 7% year-over-year, driven by double-digit cloud revenue growth that more than offset reductions in on-premise product and services revenue. Financial crime and compliance revenue totaled \$133 million, representing 17% of total revenue and increased 23% year over year. Our FCC segment had a standout quarter with premise-based term renewals, demonstrating the longstanding and high retention record with top-tier financial institutions across the globe. This premise business drove strong product revenue alongside continued healthy cloud revenue growth. Next, on profitability, Gross margin for the quarter was 68.4% as anticipated. This reflects the planned investment impact of what we outlined at our November Capital Markets Day last year as we scale our global cloud infrastructure and support increased AI workloads that are deliberate, time-bound, and expected to drive margin expansion in the second half of 2026 and beyond. Operating income was \$200 million, resulting in an operating margin of 26%. As planned, targeted operating expense investments stepped up in the quarter with higher R&D and sales and marketing spend to support our growth initiatives across go-to-market and AI innovation. At NICE, we have repeatedly demonstrated our ability to drive healthy operating leverage. Today, we are driving healthy ROI from our internal AI deployments, and these efficiencies partly offset the increased investments we made stepping into the year. We expect these AI benefits to continue and build throughout the year. Earnings per share for the first quarter were \$2.64, coming in well above the high end of our guidance range, largely driven by better-than-expected operating margins. Each quarter, we provide a reconciliation from our non-GAAP to our GAAP results. This quarter, I would like to highlight that our non-GAAP results exclude a discrete, non-recurring tax charge. Our non-GAAP effective tax rate remains consistent with our expectations previously shared for 2026 and looking ahead. Cash flow from operations in the first quarter was \$179 million, and free cash flow was \$149 million. Cash flow generation compared to the first quarter of 2025 was impacted by a timing difference in bonus payments, which were paid in March this year versus early April last year. The remaining differences were related to planned increased investments, including Cognigy. We now expect free cash flow margin to be at the higher end of the 18% to 19% range we provided at Capital Markets Day. We ended the quarter with \$304 million in cash and short-term investments. We remain committed to prudent capital allocation balancing investment in our growth initiatives with consistent returns to shareholders. Reflecting our confidence in the strength of our business and long-term opportunity, we executed significant share repurchases during Q1. repurchasing a record \$253 million of shares, representing 3.5% of our market capitalization. Shares outstanding at the end of March were approximately 58.5 million shares, a decline of 5% year over year. We exited the first quarter with \$745 million of authorized buyback, and we remain committed to our share repurchases, exceeding 50% of our free cash flow this year. Turning to guidance, for the full year 2026, we are reiterating our total revenue guidance and raising our EPS guidance to reflect higher operating margins. Full year 2026 total revenue guidance is expected to be in a range of \$3 billion and \$170 million to \$3 billion and \$190 million, which represents an increase of 8% at the midpoint. We now expect 2026 cloud revenue growth to be in the range of 13% to 15%. Full-year diluted or fully diluted earnings per share are now expected to be in a range of \$10.98 to \$11.18. For the second quarter of 2026, we expect total revenue to be in the range of \$761 million to \$771 million, representing 5.5% year-over-year growth at the midpoint. We expect second quarter fully diluted

earnings per share to be in a range of \$2.60 to \$2.70. As Scott mentioned, we are seeing strong interest from existing customers in our AI offerings with a clear focus on the outcomes and savings we can deliver. Importantly, ARPU remains stable, average revenue per customer continues to increase, and our bookings, backlog, and pipeline remain strong. In Q1, we proactively worked with a small number of existing marquee customers by taking renewal-specific commercial actions to accelerate AI expansion and secure long-term commitment. Those decisions create some phasing effects in how revenue is recognized, with a more pronounced impact expected in Q2. As a result, we expect Q2 cloud revenue growth to be slightly below our full-year range, followed by an increase in Q3. We now expect operating margins for the full year 2026 to be at the higher end of the 25% to 26% margin range. Based on our forward indicators, we remain confident in our midterm guidance we share to Capital Markets Day. With an increasing global presence and expanding penetration of agentic AI to our extensive large enterprise customer base, we remain excited for the year ahead. Together with our nice Cognigy offering, our seamless CX1 customer experience platform is unparalleled. We expect to continue to drive healthy top-line growth with intentional investment while remaining disciplined in how we manage the business, which is evident in our healthy free cash flow generation, industry-leading stock-based compensation expense ratio, and our strong share repurchase activity. Our ongoing review of our portfolio is another example of that discipline. This combination of growth investment and financial discipline positions NICE for sustained long-term value creation. With that, I'll turn the call back to the operator for questions. Operator?

OPERATOR Operator

At this time, if you would like to ask a question, press star, then the number one on your telephone keypad. To withdraw your question, simply press star one again. We kindly ask that you limit your questions to one and one follow-up for today's call. We will pause for just a moment to compile the Q&A roster. Your first question comes from the line of Patrick Walrobins with Citizens. Please go ahead.

KINCAID (FOR PATRICK WALROBINS) Analyst, Citizens Financial

Hi, team. Congratulations on the quarter. This is Kincaid on for Pat. I saw earlier this week that Sierra raised \$950 million for their AI agents. I was curious, what does that mean for NICE?

SCOTT RUSSELL Chief Executive Officer

I'll answer that. Great question. So I guess it does a couple of things. First of all, it validates that we are in an incredible market. If you think about the world of AI, there is no better example of how AI can create durable value for customers than in the CX market. Use cases, what I talked about with OpenReach and Lufthansa, our wins that we talked about in the quarter and our customer base, we see what I suspect our point solution competitors do, which is that there is an incredible demand opportunity that will deliver durable value for customers and companies on the AI side. But here's the thing that I think maybe that people are not putting enough emphasis on. Creating automated agents for simple flows, it is easy, simple to do, and frankly, that's not what enterprises need at scale. The volume of interactions that are happening that are being managed by AI is actually still relatively low. It's still single digit. But as those interactions deal with more complex scenario, more complex needs that require the security, the observability, the guardrails, the ability to be able to interoperate with other ways of interacting with their customers, that's where an enterprise platform that handles all of the engagement rather than just the AI becomes critical. And so what we see is large companies are clearly looking at AI to drive benefits, but they're wanting a platform that gives them the end-to-end solution rather than the AI only. But we've pivoted hard as the AI leader. We've got validation from analysts. We've got validation from customers. And I guess the best validation is that our pipeline, our backlog, our bookings are growing at record levels in the AI space. So we're winning, and we will be the CXAI winner. Great. Thank you so much.

OPERATOR Operator

Your next question comes from the line of Siti Panagrahi with Mizuho. Please go ahead.

SITI PANAGRAHI Analyst, Mizuho

Thank you. Nice start to the quarter. Basically, Q1 revenue top and bottom line was pretty strong. The question we're getting on your Q2 revenue guidance and also your cloud revenue now widened to 13% to 15% from 14.5% to 15%. Beth, you talked about some of the... It's a renewal action by customer, but could you drill into the other factors or even drill into that? What drove this kind of guidance, Q2, step down to 5% from 9% plus?

SCOTT RUSSELL Chief Executive Officer

Yeah, so maybe let me start with that, Beth, and then you can add some context to it if you don't mind. I fully understand. As I mentioned, we are in this dynamic market. Our business decision-making... is always about durable long-term growth in the CX AI market as the CX AI winner. So the variability in the cloud growth is very much a function of decisive commercial actions to drive future AI growth. Maybe let me add on to this to give a bit of context. We always talk about the AI market, but what NICE has is an asset that our AI point competitors do not have. A significant install base of customers that we've got a long-term relationship with. And so what we're seeing, particularly with large marquee customers that have got upcoming renewal events with us, is that these customers are moving quickly to adopt AI, but they're also very focused on the outcomes and the savings that can be achieved. These customers are leaning in with us on AI. They're saying, hey, you're our partner. We want to expand with you on AI. But in that context, we're making deliberate decisions commercial decisions to lock in that AI business. Rather than let it go to a broader market evaluation, this gives us a number of benefits. It shortens the AI sales cycle, it leads to more AI revenues on a faster timeline, and it obviously has shown up in our backlog that we've reflected. But what it also then highlights is some near-term variability on existing products and timing differences between the AI bookings that convert to revenue and But our view on this is this is the right trade. We are managing the business for long-term growth. Maybe if I can, and I'm sorry to give a long-winded answer, but it's important. Let me give you an example to bring this to life. There was a customer that came to us that had a large financial services customer where we secured a broader commitment to deploy Cognigy for automation. We added an additional year of on the total term, and to get the deal done faster, we provided attractive pricing on some of our existing CX products. The AI deployment will begin contributing to revenue later on in the year and more significantly in 2027, but the discount is felt right away. So as a result, there's a near-term impact on ARR, but a clear visibility to growth above the pre-renewal ARR as the AI bookings convert to revenue. And as Beth indicated, this creates a facing impact. So I guess you can see that our strategy is working in the indicators we see. AI backlog up by 78%. Pipeline growing even faster. Cloud backlog growing at record levels. Record bookings levels. It's because we're taking these decisive actions to win in the AI market that drives and the expansion opportunity once we're in there as the AI platform are tremendous. Beth, do you want to just add anything? Yeah, thanks.

BETH GASPICH Chief Financial Officer

I think you've covered it quite well, Scott. I think the only thing that I would add on to that is that it's a dynamic market. And when we provided our expected cloud revenue growth at the start of this year, last quarter, you know, we didn't contemplate this action that we ultimately took. I think that when we got into the quarter, we said this is an option for us to really lock in these long-term durable commitments that are going to be with us to drive that accelerated AI growth for four years ahead. And so that was important. These were extremely important, large, marquee customers. And so it was something that we proactively stepped into. So that's the only other thing that I would add beyond what Scott has already shared. Thank you.

SITI PANAGRAHI Analyst, Mizuho

Okay, thanks for that color. And as a follow up, I think Cognigy you talked about integration is ahead of the plan. And this quarter also seems like that there is 240 bps growth. What kind of trends are you seeing in Cognigy customer base? And do you still expect that 200 bps contribution from Cognigy for this year?

BETH GASPICH Chief Financial Officer

Yeah, thank you for the question. It's a great one. And the answer is yes, we do expect to see that 200 pips plus as a contribution to the cloud revenue growth this year. We're really excited about Cognigy. I think Scott talked earlier about how we're moving very rapidly in terms of the integration into the CX1 platform. The pipeline is tremendous and growing. I think if you look across the globe, we have such an opportunity to continue to cross-sell Cognigy into our expansive install base at NICE across the globe. We're very excited. Our teams are very excited. And again, it goes back to what Scott and I both have been talking about. We were here for the long run. We're focused on that long-term growth, and Cognigy is really one of the highest key drivers of that growth looking forward.

OPERATOR Operator

Your next question comes from the line of Samad Samana with Jefferies. Please go ahead.

SAMAD SAMANA Analyst, Jefferies

Hi. Good morning. Appreciate you taking my questions. Maybe first, I want to keep pulling the string on the contracts with the large customers and maybe the effect of that. I guess, how should we think about the deflationary effect there? I guess as you think forward in the updated guidance, was that largely a reduction as a result of additional contracts that will come up for renewal that will be potentially deflationary? I mean, just help us understand, right, because part of the context in the emails that we're getting from investors is thinking through the guidance given last fall and then this being a new outcome, or was this already previously contemplated? And then I have a follow-up question.

BETH GASPICH Chief Financial Officer

Yeah, thanks, Samad, for the question. You know, as I highlighted to Citi, I said, no, this wasn't contemplated, obviously. You know, we went in to the year and felt really excited, and we remained that excited. We had a great backlog growth. We saw the pipeline, the bookings. Following that, you know, in Q1, we've had record bookings. I think what has changed is that action was not contemplated at the time we shared our earnings or our expectations last quarter. So as we stepped into this quarter, as we've said, you know, there are a few customers that we felt were really critical to driving that AI growth and commitment. You know, that's part of the health of our business at NICE, and part of our core strength is the strength of our recurring revenue and those long-term durable commitments. And so that was really the focus.

SCOTT RUSSELL Chief Executive Officer

Yeah, maybe if I can just add to it before any follow-ups, because it's obviously a good question. I would... I want to be really, I guess... clear about our thoughtfulness on this. We're playing offense. We're not trying to defend current contracts and current renewals. We're playing offense. We're in the AI market for CX. Companies are making AI decisions now. They're making them right now. And when they're making those decisions, they're not only considering what's the best AI platform, but it's very clear that they're trying to figure out, well, how do I get bankable savings as I'm making long-term commitments? We are in a prime position. So we seize the moment, which is really clear and obvious to us now that these companies are renewing big commitments with us. They rely on us for mission-critical platform, but they're also now making long-term commitments on AI that will scale and grow significantly. That is durable. And so whilst it's allowed for a wider range on our full-year cloud outlook because of some of the timing effects of the savings given versus when the AI revenue comes, it doesn't change our long-term. Our cloud guidance, there's no reduction. In

fact, we see it as an acceleration there. So from an outlook on a mid-range outlook, We feel really confident that these pivots give us the advantage to be able to further accelerate AI. And I just would highlight again, it's something that we have that no AI competition can compete with. Big companies, big agreements that are going to scale with us. we're seizing the advantages and the assets we have and so the anticipation is we're going to be really thoughtful and focused on this to be able to make sure we get great outcomes. The last benefit for what it's worth, it's actually accelerating sales cycles. So our deal cycles are getting faster because let's face it, we're bringing forward deals that may have gone into a competitive evaluation later on in the year and we're bringing them forward. We always knew there was an opportunity there so It's really thoughtful, really focused, and that's the reason for the variance and the broadening of the range.

SAMAD SAMANA Analyst, Jefferies

Understood. And then maybe just as a follow-up, I know that we all mentioned the investments and what we saw in the quarter, but just can you dig a little deeper in, is the sales hiring and the acceleration there, is headcount where you expect it to be at this point in the year? And based on sales cycles accelerating and maybe the success that you're having, is that the right level? Or how should we think about maybe any changes to what the shape of that accelerated investment will look like going forward? Thank you again, Stigma.

SCOTT RUSSELL Chief Executive Officer

Yeah, I guess there's a couple of things. I'll let you just talk about it on the financial side a bit. But let me just give you a color on what we're actually seeing. So there's a couple of things. First of all, we've definitely been active in – acquiring talent and bringing sales expertise into the organization that have got the AI knowledge and the skills. But it's obviously complementary. What we're also doing is putting an enormous effort on the enablement of our existing sales force that have got great CX domain knowledge with the AI capabilities. And now with the integrated platform, we're in a really good place. So I think from my point of view, this is more about productivity and driving expansion rather than necessarily more headcount. I think you'll find that from a sales coverage, we're in a really good place. And that obviously then is reflected in our outlook from an operating margin point of view. We're managing it really well. But Beth, did you want to add?

BETH GASPICH Chief Financial Officer

Yeah, sure. I would just talk about if you think about kind of the quarterly trend that we expect for sales and marketing during the course of this year, The ER ratio for Q1 is a little bit higher than what you should anticipate for the rest of the year, and that's really representative of a lot of the go-to-market, kickoff activities we have, and really the focus around kicking off the year strong, which has really driven those record bookings that we talked about. So you will see that Q1 is a bit higher, and you'll see that on an overall basis, the sales and marketing trend for the year will be a bit lower than what you had in Q1. So you'll see that playing out during the course of this year.

OPERATOR Operator

Your next question comes from the line of Arjun Bhatia with William Blair and Company. Please go ahead.

ARJUN BHATIA Analyst, William Blair & Company

Perfect. Thank you so much. Scott, I wanted to go back to the comment you made on financial crimes and public safety. I understand that's completely sort of exploratory at this point. what are you sort of looking for in this initial assessment and you know if you were to sort of maybe go down the path of divesting these businesses you know is this just you know operational focus and sort of um you know maybe retrenchment on on cx or how do you think

about the decision maybe ahead of you for for those businesses uh yeah look thanks for the question um look i've obviously

SCOTT RUSSELL Chief Executive Officer

said as much as I think we can share at this time. As I mentioned, we're in an exploratory process and we have been for several months. But I want to be really clear. We are focused on long-term durable growth and maximizing shareholder value. And so that guides our thoughtfulness on the portfolio, our decision-making about how we undertake that. And that's why we've got an exploratory process.

ARJUN BHATIA Analyst, William Blair & Company

Okay, fair enough. And then on going back to the sort of the AI contracting dynamics, is it fair to sort of describe this as you're sort of trading maybe near-term, I don't want to say legacy, but traditional CX revenue for future AI revenue? And I'm just curious how you see these. customer ramps on AI playing out? Like, are these multi-year commitments? And I know we've touched on this a little bit. We'll move some more color there.

SCOTT RUSSELL Chief Executive Officer

Yeah, no, it's a great question. And I think you've actually described it really well. We are making a short-term trade-off for a long-term success. What was really obvious to us, and it probably, you know, the market's moving so quickly. So companies are moving so fast in their own evaluations of their AI projects and where do they put those resources and those spend and how do they do that? And so when they're making their renewal decisions and when they came to us, we always were aware that we were looking to be able to expand. We had sales cycles already in place. What was clear, though, is that we were able to see long-term expanded outcome where we were able to get long-term agreements where we were the embedded AI platform. But as a part of that, we were then trading off a little bit on some of their existing products. For example, call recording, which they still use, but we might discount it a little bit further because we're able to then provide some immediate savings. But the benefit is we get a lock-in AI. And when you're talking about large marquee companies... the upside for us as AI expands, as interaction volume expands, as automation expands, if we're the underlying platform in a non-competitive scenario, you can clearly see how exciting we feel about that. So the way I look at it is, okay, we've built incredible backlog already as a result of taking these decisive actions. But the upside on top of the backlog, the backlog is what they can see about what they're going to roll out with AI. It's not the best case scenario. We continue to build upon that. And that's the beauty as interaction volumes on AI expand, then the revenue opportunity for us does so as well. So I think you've described it very well. And it was thoughtful. It was decisive. And we will leverage that muscle really strongly as the year progresses.

OPERATOR Operator

Your next question comes from the line of Rishi Jalaria with RBC. Please go ahead.

RISHI JALARIA Analyst, RBC Capital Markets

Oh, wonderful. Thanks so much for taking my questions. Nice to see the momentum with AI. Maybe I want to start on that thread. So, you know, it sounds like you're seeing continued strength and underlying bookings with AI as being part of it. And you talked a little bit about the beginning that, you know, it's kind of a baseline and there's potentially upside from there. Can you maybe walk us through kind of the puts and takes of you know, AI going into backlog, backlog, you know, what does that timeline from backlog to translate into revenue look like? And maybe more importantly, as the mid-shift goes, maybe from, you know, traditional seat-based to more consumptive, understanding you've always had some level of consumption in the model to begin with, you know, what does that do to your overall visibility as you kind of think out four quarters? And then what kind of tools in your arsenal do you have to help your customers maintain

some level of predictability so they're not kind of waking up and facing some level of sticker shock, as we're seeing with a lot of AI solutions in the Valley today where people end up with a bill that is meaningfully higher than what they thought because of token usage. Maybe help us understand all those pieces, and then I've got a quick follow-up.

BETH GASPICH Chief Financial Officer

Thanks for the question, Rishi. That was quite a long one, so I'll do my best and then you'll have to let me know if I didn't cover everything. I think, you know, let's start with the AI backlog. We've highlighted that, you know, as a percent of the backlog, it's growing and it's part of our key driver with the AI being attached to everything we do. When we think about the timeline that it takes to AI from AI and once the contract is signed until it actually goes into our revenue recognition, From a product standpoint, our product is ready to go. We can turn it over to our customers. We've seen with Cognigy and nice Cognigy agentic AI, they can deliver this very easily to the customers and put it into the revenue stream. When we look at customers, of course, we all live in a world of reality as well. So despite the solution being available to immediately turn up, In practice, customers often want to really work with us and look for our services and our expertise to understand how they'll get the best ROI. So you do have an impact from that as well. I think what's important, and I've highlighted it in the past as well, is that when you think about the AI backlog, typically when a customer goes live, what you'll see is that the commitment that they have signed up for, and similar to these long-term commitments that we've just talked about with the Q1 marquee customers, That commitment is what will initially start, you know, going into the revenue stream. And then as the customers continue to adopt and have further consumption, then that consumption or the usage is on top of their commitment. You know, many of our customers, and even more so with the recent acquisition of Cognigy AI, are in their very initial stages of adoption. And that, again, is another reason why we are factoring and focused on the long-term durable growth. We're in the early stages of really driving this AI expansion.

SCOTT RUSSELL Chief Executive Officer

Yeah, maybe I'll just add a couple comments. The deployment, what actually happens to customers. The rollout of agents is simple, right? Cognigy at a click of a button will generate production-ready AI agents. That's not the difficulty. What happens, though, is that the customers, before they're prepared to deploy, they need to make sure the data is correct. Is it appropriate guardrails? They test the security. Is the observability correct? Does it have the auditability? Things that are a part of our platform, which I will highlight, our AI point solution competitors may not fare so well in all of these inherent capabilities that we do, but they are really important. because you can't have errors when you're dealing with customer service. You can't respond to the customer in an incorrect way. The quality levels have got to be high. So that's where there's an amount of work on the initial deployment, which obviously has a period of time before that turns to revenue. I want to then add, though, most customers have very targeted use cases that they're signing up to that is a part of our AI backlog. But the expansion opportunity is tremendous because you'll start with simple automation cases and then you'll start doing on more customer flows and then you'll add in automated outcomes and then you'll add in co-pilot to help your human workforce and then you'll add in proactive AI so you can do outreach to your customers. And so what we see is a baseline and we're already doing outcome-based pricing with certain customers and because we are very flexible in our pricing models to be able to deliver the ROI. And the beauty is we have got a quantified ROI model based on our data. We know what the benefits will be. We've proven it. And that allows us to go in with high confidence about the benefits case that customers are looking for. Because to your point, if they're going to spend more in this area, they want to be able to have the corresponding benefits And so quantification of that becomes really critical, and that's what we step up to.

RISHI JALARIA Analyst, RBC Capital Markets

Got it. Thanks. That's very helpful and very thorough. Maybe just a quick follow-up. As we think about some of the headline success we see from some companies in and around the ecosystem, I know we've had conversations around partnering with the ecosystem and implementation providers, but maybe can you help us understand, is there an opportunity for greater technology partnerships or at least integration? Because ultimately, whichever way the customer kind of chooses should be able to meet them where they are. Maybe can you help us understand, is that something that can maybe open up a few more doors rather than being kind of an all-in, all-out type of situation? Thanks so much.

SCOTT RUSSELL Chief Executive Officer

Yeah, it's a great point. And the answer is yes. So our technology team led by Jeff Comstock have been really proactive in expanding our technology partnerships. We announced a further expansion of what we're doing with ServiceNow. We've got obviously working with all of the AI players around how we develop and embed their models. And remember, we're all beneficiaries of the LLM, but what really is important for companies like ours is the scaffolding you build around it. So it's production grade ready in customer service, audibility, observability, all of the security and things that don't come with your LLM, but do come with our assets and That's what customers are wanting already in place, and that really plays to our strengths. So that gives us a few opportunities. One, further expanding collaboration and partnerships with the large AI players and with large, let me call it, agentic platforms that are being rolled out in enterprises. And I mentioned that we'd rolled out an MCP integration layer already for broader expansion. So that's a good example. But the other one that I want to just highlight is all of these point AI solutions, guess what? They need our data. They cannot operate successfully without the data that NICE has. The difference is we've already got the proprietary models, the insights, the value. We've already got that packaged into our agents that they don't. So we're able to give a more comprehensive outcome for our solutions rather than just picking up that data and then using it from their case. But even with that, we partner and are able to collaborate with any of those players as well. So we definitely see ourselves at the center of the system of engagement. the ecosystem that interoperates with it. We operate in an environment where point solutions will be out there. We're very comfortable with that. But when companies want an end-to-end platform, we feel really, really good about our competitive position.

OPERATOR Operator

Your next question comes from the line of Jamie Reynolds with Morgan Stanley. Please go ahead.

JAMIE REYNOLDS Analyst, Morgan Stanley

Hey, this is Jamie on for a little bit of order. Appreciate you taking the question. Great to see another strong quarter of growth internationally. So just would be curious, you know, how we should be thinking about the durability of that growth in 2026 and just if there's any sort of macro-related call-out to be aware of.

SCOTT RUSSELL Chief Executive Officer

Great question. It's exciting. I guess I feel really proud of the international team. I mentioned when I joined and took over at the beginning of last year, my background has significant experience in working in all international markets and i felt it was a a really clear opportunity for nice to be able to seize upon it but the reality is the team were already there they were running fast and um we needed to give them the right support so the growth profile pipeline growth across our international markets is really strong it's growing even faster than what you've seen in terms of the growth rates um our bookings performance is at the record levels. I feel really positive about the opportunity to be able to do the combination of enterprise-wide CCaaS transformation combined with AI. It happens every single time with our big marquee prospects in the international markets. And because we're so committed to those markets, those customers have a high confidence that we've got local capability to be able to deliver at scale and serve their needs. So you can rightly expect that our focus on international is a durable growth driver for the company.

BETH GASPICH Chief Financial Officer

And I would just add to that, Scott. I think, you know, I highlighted earlier that our international cloud revenue is already growing at 50% year over year on a constant currency basis. And we're really continuing to be very excited of the opportunity there. The international arena generally is still underpenetrated. So there's a huge runway of opportunity that we're really attacking and we're very excited, as Scott highlighted.

JAMIE REYNOLDS Analyst, Morgan Stanley

Great. Thank you so much.

OPERATOR Operator

Your next question comes from the line of James Fish with Piper Sandler. Please go ahead.

JAMES FISH Analyst, Piper Sandler

Hey, guys. Thanks for the question here. It seems like product continues to stabilize, and you guys called out really good term renewals. Is it that customers are still wanting to stay on-prem for the longer duration and those conversions aren't going to happen? Or are they just not sure what to do with cloud and AI still? Was there a net pull-in of demand just given concerns around supply chain and kind of getting their back-end hardware with your software? And just for modeling purposes, what was the percentage of revenue from recurring this quarter?

BETH GASPICH Chief Financial Officer

Yeah, so James, let me take the question. Let me start by the first part, which is where we see that. First, I'll say that where we don't see that product is CX. CX today is highly cloud-driven. We've kind of made that transition long ago. Where we do see the term renewals coming into play is typically in our financial crime and compliance business, where we have longstanding... some of the largest global financial institutions across the globe, obviously. And so a lot of those customers have been with us for many, many years. When we go into those renewal cycles, sometimes just for the ease of ongoing continuity of the customer, they want to do a term renewal in the near term. But the feedback that we have from our go-to-market teams is consistent, that there's a clear intent by all of those financial institutions to shift into our cloud offerings. And so really it's just a matter of timing. Again, the feedback that we hear is that generally, even as they're doing a renewal, they're talking about how they plan to shift to the cloud in the near-term upcoming renewals. And our recurring is around 90%. So it demonstrates that even in a quarter where you have such strength in the product, it demonstrates both the strength of the overall business as well as just the stickiness and the health of the financial crime and compliance business as well.

JAMES FISH Analyst, Piper Sandler

Got it. And if I could follow up, obviously, this point has been kind of belabored a little bit, but is the impact simply a shift more towards interaction-based pricing rather than seat-based pricing? What are you guys seeing with that? Or is it that you guys did offer kind of steeper discounts with larger – minimum longer-term durations. And really, Scott, for you, the crux of my question is, why do you guys feel the need to kind of do this now if you guys have that kind of best AI portfolio with the end-to-end and go into that base early?

SCOTT RUSSELL Chief Executive Officer

Thanks, guys. Yeah, great question. Maybe let me answer the last part first because it probably is the most important one. It's not about need. It's about taking advantage of a competitive strength. We've got a great install base with existing commitments, with durable long-term relationships, and we're seizing the moment and the opportunity with their move to AI. Now, relationships, as you know, require the opportunity to be able to have a win-win. And what these

customers are looking for is, well, okay, I'll lean in with you on that long-term. We could have made the decision earlier. you know what, we'll hold up and we'll protect our short-term cloud revenue. I'm not interested in that. I'm interested in the long-term durable growth for NICE that our shareholders, our partners and our customers and our employees will be beneficiaries of. And that means we saw the opportunity to seize the moment and it's very thoughtful, targeted. So it's not about need, it's about decisive action that is to our competitive advantage. And frankly, it allows us then to be able not only with these marquee customers able to then implant and deploy in the future the AI capability, they become the bellwether for all large enterprises of how they're deploying AI in the CX environment at scale with NICE. So there are other benefits beyond the pure financial side over the long term. It becomes leadership across major industries and major companies and it was a no-brainer in terms of a trade-off.

OPERATOR Operator

Your next question comes from the line of Thomas Blakey with Cantor. Please go ahead.

THOMAS BLAKEY Analyst, Cantor Fitzgerald

Great. Thanks. Just a couple quick ones here over time, but just maybe touch on that process mining. That's what I'm calling it anyway, but this ability to kind of search for efficiencies and create them and, you know, create some agentic workflows around that and deploy them and what that could do in terms of monetizing these record bookings and backlog. Scott, and maybe Beth, if I'm hearing correctly and listening to all the questions here at the end here, you guys have been, you have the ability and the flexibility to be opportunistic and go after these very large deals that companies are committing a lot of capital and a lot of brand in some cases to the level of, you know, expanding AI to digital CX. If I'm characterizing that, maybe you could just give an affirmative there, but like, what does that mean for, you know, calendar 27 as we go out? You know, you guys are obviously talking about some pricing actions here, but still solidly talking about margins here in the second half of 26. And that's got to portend for a great 27. So, a couple questions there. Thanks, guys, and congratulations on the quarter.

BETH GASPICH Chief Financial Officer

Yeah, thanks a lot, Thomas. Listen, I'm going to kind of kick it off and then I'll hand it back over to Scott. I think one of the things I think was really critical that you touched on is that large enterprise, they want to make that spend happen now. They've allocated budget. It's in the current year. They are really looking to drive the benefits they can get from AI, and we are extremely well positioned and really unparalleled in our capabilities, not just with AI, but the end-to-end platform we have with customer experience. So It reinforces, again, all of our comments today and how we are seizing that opportunity. The spend is happening now. We are looking to capitalize on that, and that will drive the durable growth as we step into 2027. We're already demonstrating the muscle we have and our operating leverage through stepping out, you know, with the high end of the range on the operating margin in Q1, and we expect that trend to continue. So I think that it's clear that we're seizing that dedicated spend you're seeing across multiple organizations at this time in the market. And Scott, I'll hand it to you.

SCOTT RUSSELL Chief Executive Officer

Yeah, and I just would reiterate again, all of the forward indicators that when you think about the future, and as you think about the future of our business, our cloud backlog, our cloud bookings, our AI backlog, the pipeline, all of those forward indicators are trending upwards at really high levels. So it gives... not only us, but also, I guess, a level of confidence for our shareholders, a level of confidence that the durable growth that we keep talking about, it's real and tangible and we can see it. I just want to pick up on your first question about, well, what do we see and what are the value or with the AI? Probably the best way to describe it is one of the things that we've talked about quite often is the value of our data and why that data be such an important asset when you think about winning in the AI world. What

we've now done between our data and Cognigy is have a platform, automated insights, that is able to use the data in a production context that gives ROI clarity and production-grade AI agents with a click of a button, which means for businesses, if you think about that for a customer, you're not going into some discovery mode to try to figure out, oh, what's the benefit that I'm going to get here? What are the outcomes that I'm achieving? And how will the AI agents work? We've already got a proven use case that we are prepared to stand behind on outcome-based models to be able to give a quantifiable outcome with the best of both. The best data, the largest data, but also then the AI agent capability to be able to deploy it at production-grade standards. So that's a great example of what we're seeing because I think what you'll find in the market is simply deploying a simple agent for simple use cases, yeah, that's easy. Anybody can really do that. When you get to really having production-grade, enterprise-grade, that's where NICE steps in and that's where we shine brightest. And we're excited about how that market will continue to evolve and our capability stands up to it.

OPERATOR Operator

Your next question comes from the line of Michael Fox with Bank of America.

MICHAEL FOX Analyst, Bank of America Securities

Please go ahead. Yeah, thank you for the question. I wanted to come back to what was anticipated, unanticipated in the conversations with customers this quarter and in some of the early renewals that you talked about. So clearly, you know, some shift in power to the buyers. You mentioned that some components under pressure. I think call recording is was one that you mentioned. Can you walk through what other components might be under pressure on these early renewals, percentage of the CX revenue base, and if those conversations were reverse inquiry, or if you were surprised by the power shifting to the buyer?

SCOTT RUSSELL Chief Executive Officer

Yeah, again, maybe I'll just... I have to sort of highlight this again because I understand the question. We took an offensive... We're in the game of offense here, so... It's not so much about, hey, buying power. We're not under any pressure in terms of any specific products. Our ARPU is strong. We continue to see strong demand of our cloud products across our portfolio. What we really did was we took a decisive action with those market customers, which was obviously predominantly after when we reported Q4. to be able to then seize the opportunity that is in front of us. And we not only saw it in Q4, but we're projecting that out through the year and making sure that we seize upon this. I think what you are seeing, though, is that in the conversations we're having with these customers, they want bankable savings. They've got their own business challenges and they want the value, the durable value of AI to be delivered. And what we can do is we can trade into that in a positive win-win way where we can say, all right, we can lean in, provide some discount, provide some value in the short term, but with a long-term commitment with us, not only in AI, but also in our cloud backlog as well, that's really strong. So this is very much an affirmative action rather than one where we're trying to respond to any pressure from the customer base.

MICHAEL FOX Analyst, Bank of America Securities

And sorry, just the question on the percentage of CX revenue from components that are at risk. In your view, you mentioned call recording. I'm sure maybe some others are lightly used or might be replaced by AI. Can you comment on that?

SCOTT RUSSELL Chief Executive Officer

The answer is a very, very small percentage of our – and even in the example of call recording, by the way. it's a great product, it's not under pressure, but clearly it was just an example I gave of a customer that looked at that and said, ah,

we want to be able to, we've got to reduce usage or because we're going to AI, because we're going to use your co-pilot, because we're going to use your automated insights, because we're going to use your auto summary capability, That then allows them to be able to get even more value, but slight compression. So a very small portion of our products under pressure that I would categorize in that way.

BETH GASPICH Chief Financial Officer

Yeah, and I would just add to that in terms of kind of putting it into financial perspective. I highlighted earlier, you know, when you think about our CX business, you know, most of that business has already long well migrated to the cloud. So there's very little... sort of what I would say, some of those lines that you've talked about, which were more on-premise oriented. So really that exposure is quite small.

OPERATOR Operator

That concludes our question and answer session. I will now turn the call back over to Scott Russell for closing remarks.

SCOTT RUSSELL Chief Executive Officer

Yeah, thank you, Operator. Look, first of all, thank you, everyone, for the questions today. I just want to reiterate again, it's exciting. We're We're in the game of offense. We're in a great market and we're seizing that opportunity. Our business fundamentals, our financial strength, our forward outlook, the indicators that drive our durable growth are all trending really, really positively and in the right direction. And we will be the winners in the CXAI market and we're proving it every single week. So I look forward to sharing more details for those who are able to join us on June 9th at Nice World in Orlando.

OPERATOR Operator

Ladies and gentlemen, this concludes today's call. Thank you all for joining. You may now disconnect.